Energy Transfer LP (NYSE: ET US)

Institutional Equity Research Report

RECOMMENDATION	**BUY**
CURRENT MARKET PRICE	**$ 20.23**
TARGET PRICE	**$ 29.43**
IMPLIED UPSIDE	**+46%**

Investment Highlights

✓ Predominantly fee-based, contracted cash flows ✓ Trading below intrinsic value

✓ Extensive North American midstream asset network ✓ Beneficiary of growing LNG export demand

✓ High distribution yield supported by stable cash generation

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EXECUTIVE SUMMARY

A. Investment Case

Energy Transfer is a leading North American midstream energy partnership with a diversified portfolio of pipeline, storage and export infrastructure that generates predominantly fee-based, long-term contracted cash flows. Its resilient business model, extensive asset network and disciplined capital allocation support stable earnings and attractive cash distributions despite commodity price volatility. These characteristics, combined with an attractive valuation, make Energy Transfer a strong fit within the Value Stock Portfolio, which focuses on fundamentally strong companies trading below their intrinsic value.

B. Key Catalysts

The primary catalysts supporting the investment thesis include continued growth in U.S. natural gas production, increasing LNG export demand and higher utilisation of Energy Transfer's integrated infrastructure network. Revenue is forecast to increase from **USD 85.5 billion in FY2025** to approximately **USD 114.5 billion by FY2027**, while operating income continues to improve alongside expanding asset utilisation. Free Cash Flow is projected to increase from approximately **USD 8.5 billion** to **USD 9.9 billion** over the forecast period, strengthening the partnership's capacity to fund distributions, reduce leverage and invest in future growth projects.

C. Financial Highlights

Energy Transfer's financial performance reflects a business supported by resilient operating cash flows and improving profitability. Operating income increased to **USD 9.3 billion in FY2025**, while operating cash flow grew from **USD 7.4 billion in FY2020** to **USD 10.6 billion in FY2025**. The partnership has also strengthened its liquidity position, with cash and cash equivalents increasing to **USD 1.27 billion in FY2025**, providing greater financial flexibility to support infrastructure investment and long-term capital allocation.

D. Valuation

The valuation analysis indicates that Energy Transfer continues to trade materially below its intrinsic value. The Discounted Cash Flow model estimates a fair value of **USD 29.43 per unit**, representing an implied upside of approximately **46%** relative to the current market price of **USD 20.23**. The EV/EBITDA valuation estimates a fair value of **USD 26.84 per unit**, implying an upside of **32.7%**. The consistency across both valuation methodologies reinforces confidence that the current market valuation does not fully reflect the partnership's long-term cash-generating potential.

E. Recommendation Summary

Energy Transfer continues to exhibit the core characteristics sought within the Value Stock Portfolio through its resilient fee-based business model, diversified infrastructure assets, strong operating cash flow generation and attractive valuation. Although regulatory approvals, leverage and transportation volumes remain key risks, the partnership's financial forecasts support continued growth in earnings and Free Cash Flow. Given the substantial upside indicated by both the DCF and EV/EBITDA valuations, we recommend **BUY**, as Energy Transfer remains well positioned to deliver sustainable long-term cash generation and attractive shareholder returns.

BUSINESS ANALYSIS

A. Business Overview

Energy Transfer is one of the largest midstream energy companies in North America, operating an extensive network of natural gas, crude oil, natural gas liquids (NGL) and refined product pipelines, storage facilities and export terminals. Its diversified asset base generates predominantly fee-based revenue under long-term contracts, providing stable and predictable cash flows that are less sensitive to commodity price fluctuations. This business model supports consistent cash distributions and long-term shareholder value, making Energy Transfer well aligned with the objectives of the Value Stock Portfolio.

B. Strategy & Key Value Drivers

Energy Transfer's strategy is centred on expanding its integrated midstream infrastructure while maximising utilisation across its existing asset network. Continued investments in pipeline expansions, export facilities and processing capacity are expected to support distributable cash flow growth without materially increasing operating risk. The combination of long-term contracted revenues, disciplined capital allocation and a diversified asset portfolio strengthens earnings stability and supports the company's ability to sustain attractive distributions to unitholders.

C. Business Moat

Energy Transfer's competitive advantage is derived from its extensive pipeline network, strategically located storage and export infrastructure, and integrated operations spanning multiple energy value chains. The significant capital requirements, regulatory approvals and long asset development timelines create substantial barriers to entry, while the company's interconnected asset base enhances operational efficiency and customer retention. These structural advantages reinforce long-term cash flow stability and strengthen its competitive position within the North American midstream sector.

D. SWOT Analysis

Strengths

- Diversified fee-based midstream asset portfolio
- Extensive pipeline network
- Strong cash-generating capability

Weaknesses

- Exposure to regulatory approvals and environmental scrutiny
- Relatively high leverage typical of the sector

Opportunities

- Rising US natural gas production
- Growing LNG export demand
- Infrastructure expansion

Threats

- Energy policy changes
- Project delays
- Lower transportation volumes

INDUSTRY ANALYSIS

A. Sector Outlook

The North American midstream energy sector continues to benefit from growing natural gas production, increasing LNG export capacity and rising demand for energy infrastructure. Unlike upstream producers, midstream operators generate a significant proportion of their earnings through long-term, fee-based transportation and storage contracts, providing greater earnings visibility and cash flow stability. These structural characteristics create a favourable operating environment for Energy Transfer, supporting sustainable distributable cash flow and long-term shareholder returns.

B. Business Cycle

Midstream companies are generally less exposed to commodity price volatility than exploration and production companies because revenues are primarily linked to transportation volumes rather than oil and gas prices. Although lower production activity during economic slowdowns can reduce pipeline volumes, the industry's long-term contracts and essential infrastructure assets help maintain relatively stable earnings throughout the business cycle. This defensive operating profile supports Energy Transfer's ability to generate consistent cash flows across varying market conditions.

C. Supply Chain

Energy Transfer occupies a critical position within the North American energy supply chain by connecting upstream producers with refiners, utilities, industrial customers and export markets. Its integrated network of pipelines, storage terminals and export facilities enhances operational efficiency while reducing transportation bottlenecks across multiple energy commodities. As U.S. LNG exports and natural gas demand continue to expand, existing infrastructure operators such as Energy Transfer are well positioned to benefit from higher asset utilisation without requiring proportionate increases in operating costs.

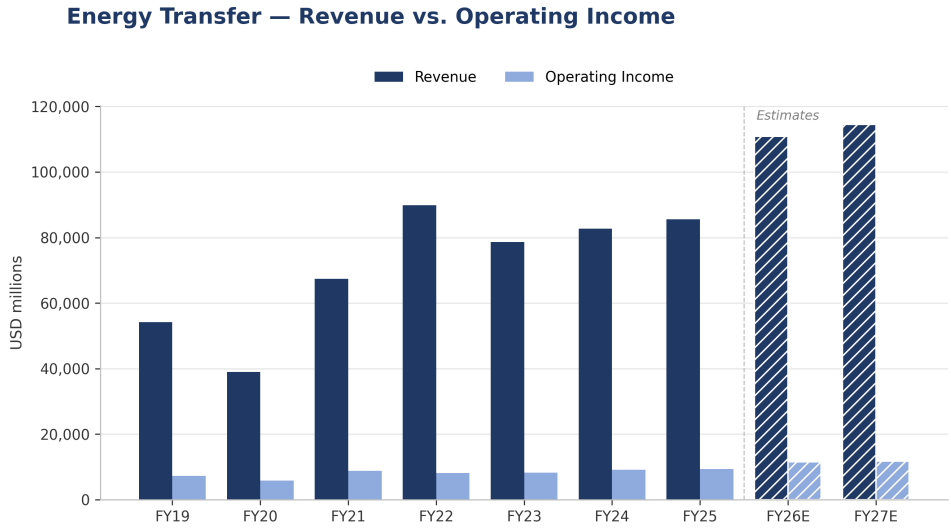
D. Peer Analysis

Ticker	Name	Mkt Cap (USD)	EV	EV/EBITDA	P/E	P/FCF	Dividend Yield
ET US Equity	ENERGY TRANSFER LP	70062.00288	159132	10.13708771	15.13797	19.35024768	6.55375571
WES US Equity	WESTERN MIDSTREAM PARTNERS L	19241.43811	27374.92	11.26672362	14.95318	13.51539693	7.902083029
PAGP US Equity	PLAINS GP HOLDINGS LP	5210.815585	29294.82	13.69556596	#N/A N/A	2.448727095	6.200152117

FUNDAMENTAL ANALYSIS

A. Income Statement Analysis

Energy Transfer has demonstrated consistent revenue growth following the pandemic-driven slowdown, with revenue increasing from **USD 39.0 billion in FY2020** to **USD 85.5 billion in FY2025**, and forecast to reach approximately **USD 114.5 billion by FY2027**. Operating income also improved from **USD 5.9 billion in FY2020** to **USD 9.3 billion in FY2025**, reflecting higher asset utilisation and disciplined operating performance despite a rising interest expense associated with its capital-intensive business model. The continued expansion in revenue and operating earnings reinforces the partnership's ability to generate sustainable distributable cash flow, supporting its long-term investment appeal within the Value Stock Portfolio.



In Millions of USD except Per Share 12 Months Ending	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026	FY 2026 Est 12/31/2026	FY 2027 Est 12/31/2027
Revenue	**54,213.0**	**38,954.0**	**67,417.0**	**89,876.0**	**78,586.0**	**82,671.0**	**85,536.0**	**92,287.0**	**110,878.0**	**114,535.8**
+ Sales & Services Revenue	53,340.0	38,368.0	66,696.0	89,049.0	77,525.0	81,288.0	83,814.0	90,307.0		
+ Other Revel		586.0	721.0	827.0	1,061.0	1,383.0	1,722.0	1,980.0		
- Cost of Rever		487.0	50,395.0	72,232.0	60,541.0	61,975.0	63,495.0	69,073.0		
+ Cost of Goods & Services	39,801.0	25,487.0	50,395.0	72,232.0	60,541.0	61,975.0	63,495.0	69,073.0		
Gross Profit	**14,412.0**	**13,467.0**	**17,022.0**	**17,644.0**	**18,045.0**	**20,696.0**	**22,041.0**	**23,214.0**	**22,244.3**	**22,458.2**
+ Other Operating Income	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
- Operating Expenses	7,135.0	7,607.0	8,209.0	9,520.0	9,738.0	11,506.0	12,729.0	13,414.0		
+ Selling, General & Admin	694.0	711.0	818.0	1,018.0	985.0	1,177.0	1,180.0	1,253.0		
+ Research & Development	—	—	—	—	0.0	0.0	0.0			
+ Depreciation & Amortization	3,147.0	3,678.0	3,817.0	4,164.0	4,385.0	5,165.0	5,682.0	5,898.0		
+ Other Operating Expense	3,294.0	3,218.0	3,574.0	4,338.0	4,368.0	5,164.0	5,867.0	6,263.0		
Operating Income (Loss)	**7,277.0**	**5,860.0**	**8,813.0**	**8,124.0**	**8,307.0**	**9,190.0**	**9,312.0**	**9,800.0**	**11,584.7**	**11,794.5**
- Non-Operating (Income) Loss	1,919.0	2,125.0	2,106.0	2,001.0	2,112.0	1,384.0	3,065.0	2,735.0		
+ Interest Expense, Net	2,331.0	2,327.0	2,267.0	2,306.0	2,578.0	3,125.0	3,474.0	3,612.0		
+ Interest Expense	*2,331.0*	*2,327.0*	*2,267.0*	*2,306.0*	*2,578.0*	*3,125.0*	*3,474.0*	*3,612.0*		
- Interest Income	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*		
+ Foreign Exch (Gain) Loss	0.0	0.0	0.0	0.0	0.0	0.0	0.0			
+ (Income) Loss from Affiliates	-302.0	-119.0	-246.0	-257.0	-383.0	-379.0	-419.0	-437.0		
+ Other Non-Op (Income) Loss	-110.0	-83.0	85.0	-48.0	-83.0	-1,362.0	10.0	-440.0		
Pretax Income (Loss), Adjusted	**5,358.0**	**3,735.0**	**6,707.0**	**6,123.0**	**6,195.0**	**7,806.0**	**6,247.0**	**7,065.0**	**7,866.1**	**8,042.5**

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B. Balance Sheet Analysis

Energy Transfer continues to strengthen its liquidity while maintaining one of the largest infrastructure asset bases in the North American midstream sector. Cash and cash equivalents increased from **USD 367 million in FY2020** to **USD 1.27 billion in FY2025**, providing greater financial flexibility to fund capital expenditure, reduce debt and support distributions. Although the partnership operates with

relatively high leverage, this is characteristic of the midstream industry, where long-life infrastructure assets generate stable, contracted cash flows capable of supporting higher debt levels over the long term.

Energy Transfer LP (ET US) - Standardized

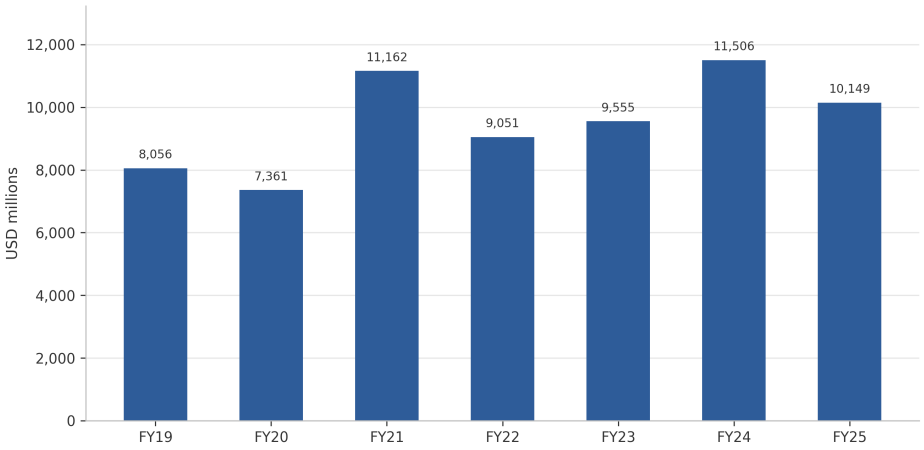
In Millions of USD except Per Share 12 Months Ending	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Total Assets										
+ Cash, Cash Equivalents & STI	467.0	336.0	419.0	291.0	367.0					
+ Cash & Cash Equivalents	467.0	336.0	419.0	291.0	367.0					
+ ST Investments	0.0	0.0	0.0	0.0	0.0					
+ Accounts & Notes Receiv	3,557.0	4,504.0	4,009.0	5,038.0	3,875.0	7,654.0	8,466.0	9,047.0	10,191.0	11,275.0
+ Accounts Receivable, Net	3,557.0	4,504.0	4,009.0	5,038.0	3,875.0	7,654.0	8,466.0	9,047.0	10,191.0	11,275.0
+ Notes Receivable, Net	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inventories	2,055.0	2,022.0	1,677.0	1,532.0	1,739.0	2,014.0	2,461.0	2,478.0	3,070.0	4,770.0
+ Raw Materials	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Work In Process	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Finished Goods	1,141.0	1,120.0	833.0	833.0	1,013.0	1,259.0	1,802.0	1,658.0	1,989.0	3,506.0
+ Other Inventory	914.0	902.0	844.0	699.0	726.0	755.0	659.0	820.0	1,081.0	1,264.0
+ Other ST Assets	820.0	3,821.0	645.0	603.0	336.0	533.0	897.0	747.0	629.0	916.0
+ Derivative & Hedging Assets	21.0	24.0	111.0	23.0	9.0	10.0	10.0	66.0	9.0	52.0
+ Assets Held-for-Sale	177.0	3,313.0	0.0	0.0	0.0	0.0	0.0	—	—	—
+ Taxes Receivable	128.0	136.0	73.0	146.0	35.0	32.0	68.0	67.0	56.0	57.0
+ Misc ST Assets	494.0	348.0	461.0	434.0	292.0	491.0	819.0	614.0	564.0	807.0
Total Current Assets	**6,899.0**	**10,683.0**	**6,750.0**	**7,464.0**	**6,317.0**	**10,537.0**	**12,081.0**	**12,433.0**	**14,202.0**	**18,233.0**
+ Property, Plant & Equip, Net	53,578.0	61,088.0	66,963.0	75,157.0	75,973.0	82,445.0	81,130.0	86,177.0	96,021.0	103,983.0
+ Property, Plant & Equip	61,562.0	71,177.0	79,776.0	90,754.0	94,981.0	104,829.0	106,815.0	115,758.0	130,051.0	143,124.0
- Accumulated Depreciation	7,984.0	10,089.0	12,813.0	15,597.0	19,008.0	22,384.0	25,685.0	29,581.0	34,030.0	39,141.0
+ LT Investments & Receivables	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other LT Assets	18,448.0	14,475.0	14,533.0	16,352.0	12,854.0	12,981.0	12,432.0	15,088.0	15,157.0	19,070.0
+ Total Intangible Assets	11,182.0	10,884.0	10,885.0	11,321.0	8,137.0	8,389.0	7,981.0	10,258.0	9,874.0	12,890.0
+ *Goodwill*	*5,670.0*	*4,768.0*	*4,885.0*	*5,167.0*	*2,391.0*	*2,533.0*	*2,566.0*	*4,019.0*	*3,903.0*	*5,452.0*
+ *Other Intangible Assets*	*5,512.0*	*6,116.0*	*6,000.0*	*6,154.0*	*5,746.0*	*5,856.0*	*5,415.0*	*6,239.0*	*5,971.0*	*7,438.0*
+ Derivative & Hedging Assets	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Prepaid Pension Costs	114.0	0.0	0.0	—	—	—	—	—	—	—
+ Investments in Affiliates	3,040.0	2,705.0	2,642.0	3,460.0	3,060.0	2,947.0	2,893.0	3,097.0	3,266.0	3,589.0
+ Misc LT Assets	4,112.0	886.0	1,006.0	1,571.0	1,657.0	1,645.0	1,558.0	1,733.0	2,017.0	2,591.0
Total Noncurrent Assets	**72,026.0**	**75,563.0**	**81,496.0**	**91,509.0**	**88,827.0**	**95,426.0**	**93,562.0**	**101,265.0**	**111,178.0**	**123,053.0**
Total Assets	**78,925.0**	**86,246.0**	**88,246.0**	**98,973.0**	**95,144.0**	**105,963.0**	**105,643.0**	**113,698.0**	**125,380.0**	**141,286.0**
Liabilities & Shareholders' Equity										
+ Payables & Accruals	5,895.0	7,302.0	6,453.0	7,458.0	5,582.0	9,903.0	10,297.0	10,205.0	12,566.0	14,675.0
+ Accounts Payable	3,502.0	4,685.0	3,493.0	4,118.0	2,809.0	6,834.0	6,968.0	6,684.0	8,325.0	9,510.0
+ Interest & Dividends Payable	545.0	552.0	571.0	579.0	600.0	561.0	559.0	637.0	685.0	878.0
+ Other Payables & Accruals	1,848.0	2,065.0	2,389.0	2,761.0	2,173.0	2,508.0	2,770.0	2,884.0	3,556.0	4,287.0
+ ST Debt	1,194.0	413.0	2,655.0	88.0	76.0	729.0	48.0	1,064.0	75.0	270.0
+ ST Borrowings	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ ST Lease Liabilities	0.0	0.0	0.0	68.0	56.0	52.0	48.0	64.0	75.0	270.0
+ *ST Finance Leases*	*0.0*	*0.0*	*0.0*	*7.0*	*2.0*	*4.0*	*2.0*	*8.0*	*8.0*	*25.0*
+ *ST Operating Leases*	—	—	—	*61.0*	*54.0*	*48.0*	*46.0*	*56.0*	*67.0*	*245.0*
+ Current Portion of LT Debt	1,194.0	413.0	2,655.0	20.0	20.0	677.0	0.0	1,000.0	0.0	0.0
+ Other ST Liabilities	188.0	182.0	202.0	178.0	265.0	203.0	23.0	8.0	15.0	10.0
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Derivatives & Hedging	172.0	111.0	185.0	147.0	238.0	203.0	23.0	8.0	15.0	10.0
+ Misc ST Liabilities	16.0	71.0	17.0	31.0	27.0	0.0	0.0	0.0	0.0	0.0
Total Current Liabilities	**7,277.0**	**7,897.0**	**9,310.0**	**7,724.0**	**5,923.0**	**10,835.0**	**10,368.0**	**11,277.0**	**12,656.0**	**14,955.0**
+ LT Debt	42,608.0	43,671.0	43,373.0	51,931.0	52,255.0	49,837.0	49,059.0	52,158.0	60,482.0	69,823.0
+ LT Borrowings	42,608.0	43,671.0	43,373.0	51,002.0	51,411.0	49,013.0	48,251.0	51,361.0	59,701.0	68,225.0
+ LT Lease Liabilities	0.0	0.0	0.0	929.0	844.0	824.0	808.0	797.0	781.0	1,598.0
+ *LT Finance Leases*	*0.0*	*0.0*	*0.0*	*28.0*	*7.0*	*10.0*	*10.0*	*19.0*	*51.0*	*83.0*
+ *LT Operating Leases*	—	—	—	*901.0*	*837.0*	*814.0*	*798.0*	*778.0*	*730.0*	*1,515.0*
+ Other LT Liabilities	6,561.0	4,677.0	4,214.0	4,641.0	4,816.0	5,163.0	5,064.0	5,546.0	5,808.0	7,248.0
+ Accrued Liabilities	318.0	337.0	295.0	274.0	262.0	247.0	228.0	235.0	227.0	354.0
+ Pension Liabilities	73.0	63.0	54.0	62.0	60.0	48.0	32.0	29.0	27.0	28.0
+ Deferred Revenue	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Deferred Tax Liabilities	5,112.0	3,315.0	2,926.0	3,208.0	3,428.0	3,648.0	3,701.0	3,931.0	4,190.0	5,307.0
+ Derivatives & Hedging	76.0	145.0	104.0	273.0	237.0	193.0	23.0	4.0	0.0	0.0
+ Misc LT Liabilities	982.0	817.0	835.0	824.0	829.0	1,027.0	1,080.0	1,347.0	1,364.0	1,559.0
Total Noncurrent Liabilities	**49,169.0**	**48,348.0**	**47,587.0**	**56,572.0**	**57,071.0**	**55,000.0**	**54,123.0**	**57,704.0**	**66,290.0**	**77,071.0**
Total Liabilities	**56,446.0**	**56,245.0**	**56,897.0**	**64,296.0**	**62,994.0**	**65,835.0**	**64,491.0**	**68,981.0**	**78,946.0**	**92,026.0**
+ Preferred Equity and Hybrid Capital	213.0	450.0	0.0	0.0	0.0	6,051.0	6,051.0	6,459.0	3,852.0	3,356.0
+ Share Capital & APIC	1,871.0	-1,643.0	20,606.0	21,935.0	18,531.0	25,230.0	26,960.0	30,197.0	31,195.0	30,930.0
+ Common Stock	1,871.0	-1,643.0	20,606.0	21,935.0	18,531.0	25,230.0	26,960.0	30,197.0	31,195.0	30,930.0
- Treasury Stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Retained Earnings	—	—	—	—	—	—	—	—	—	—
+ Other Equity	-3,745.0	-3.0	-47.0	-15.0	-2.0	19.0	14.0	26.0	71.0	80.0
Equity Before Minority Interest	**-1,661.0**	**-1,196.0**	**20,559.0**	**21,920.0**	**18,529.0**	**31,300.0**	**33,025.0**	**36,682.0**	**35,118.0**	**34,366.0**
+ Minority/Non Controlling Interest	24,140.0	31,197.0	10,790.0	12,757.0	13,621.0	8,828.0	8,127.0	8,035.0	11,316.0	14,894.0
Total Equity	**22,479.0**	**30,001.0**	**31,349.0**	**34,677.0**	**32,150.0**	**40,128.0**	**41,152.0**	**44,717.0**	**46,434.0**	**49,260.0**
Total Liabilities & Equity	**78,925.0**	**86,246.0**	**88,246.0**	**98,973.0**	**95,144.0**	**105,963.0**	**105,643.0**	**113,698.0**	**125,380.0**	**141,286.0**

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C. Cash Flow Analysis

The investment thesis is primarily supported by Energy Transfer's resilient operating cash flow generation. Cash flow from operating activities increased from **USD 7.4 billion in FY2020** to **USD 10.6 billion in FY2025**, despite fluctuations in commodity markets and economic conditions. Strong operating cash generation has enabled the partnership to continue investing in pipeline expansions and strategic infrastructure while maintaining attractive cash distributions. This consistent cash-generating ability remains one of the company's strongest competitive advantages and a key reason for its inclusion within the Value Stock Portfolio.

Energy Transfer — Cash from Operating Activities



In Millions of USD except Per Share 12 Months Ending	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025	Last 12M 03/31/2026
Cash from Operating Activities										
+ Net Income	954.0	1,694.0	3,518.0	-648.0	5,470.0	4,756.0	3,935.0	4,814.0	4,433.0	4
+ Depreciation & Amortization	2,554.0	2,859.0	3,147.0	3,678.0	3,817.0	4,164.0	4,385.0	5,165.0	5,682.0	5
+ Non-Cash Items	1,135.0	2,282.0	1,765.0	4,354.0	1,390.0	1,496.0	1,485.0	1,494.0	1,367.0	1,531.0
+ Stock-Based Compensation	99.0	105.0	113.0	121.0	111.0	115.0	130.0	151.0	148.0	153.0
+ Deferred Income Taxes	-1,871.0	-7.0	217.0	210.0	141.0	187.0	203.0	276.0	178.0	287.0
+ Other Non-Cash Adj	2,907.0	2,184.0	1,435.0	4,023.0	1,138.0	1,194.0	1,152.0	1,067.0	1,041.0	1,091.0
+ Chg in Non-Cash Work Cap	-391.0	406.0	-374.0	-23.0	485.0	-1,365.0	-250.0	33.0	-1,333.0	-1,183.0
+ (Inc) Dec in Accts Receiv	-924.0	703.0	-542.0	873.0	-3,318.0	-840.0	-176.0	-760.0	-46.0	-3,298.0
+ (Inc) Dec in Inventories	58.0	282.0	-19.0	-271.0	-19.0	-361.0	35.0	-735.0	-717.0	-471.0
+ Inc (Dec) in Accts Payable	534.0	-968.0	114.0	-960.0	3,800.0	31.0	-539.0	1,280.0	-346.0	2,621.0
+ Inc (Dec) in Other	-59.0	389.0	73.0	335.0	22.0	-195.0	430.0	248.0	-224.0	-35.0
+ Net Cash From Disc Ops	313.0	-219.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Operating Activities	**4,565.0**	**7,022.0**	**8,056.0**	**7,361.0**	**11,162.0**	**9,051.0**	**9,555.0**	**11,506.0**	**10,149.0**	**10,610.0**
Cash from Investing Activities										
+ Change in Fixed & Intang	-8,444.0	-7,320.0	-5,906.0	-5,111.0	-2,777.0	-3,079.0	-3,134.0	-3,153.0	-6,273.0	-6,967.0
+ Disp in Fixed & Intang	0.0	87.0	54.0	19.0	45.0	302.0	0.0	1,011.0	30.0	28.0
+ Disp of Fixed Prod Assets	*0.0*	*87.0*	*54.0*	*19.0*	*45.0*	*302.0*	*0.0*	*1,011.0*	*30.0*	
+ Disp of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	
+ Acq of Fixed & Intang	-8,444.0	-7,407.0	-5,960.0	-5,130.0	-2,822.0	-3,381.0	-3,134.0	-4,164.0	-6,303.0	-6,995.0
+ Acq of Fixed Prod Assets	*-8,444.0*	*-7,407.0*	*-5,960.0*	*-5,130.0*	*-2,822.0*	*-3,381.0*	*-3,134.0*	*-4,164.0*	*-6,303.0*	*-6,995.0*
+ Acq of Intangible Assets	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*	*0.0*
+ Net Change in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Dec in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Inc in LT Investment	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Net Cash From Acq & Div	-583.0	32.0	-7.0	0.0	-205.0	-1,141.0	-1,041.0	-474.0	-257.0	-934.0
+ Cash from Divestitures	0.0	461.0	0.0	0.0	51.0	0.0	0.0	0.0	0.0	0.0
+ Cash for Acq of Subs	-583.0	-429.0	-7.0	0.0	-256.0	-1,141.0	-1,041.0	-474.0	-257.0	-934.0
+ Cash for JVs	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
+ Other Investing Activities	3,421.0	213.0	-1,021.0	213.0	207.0	198.0	-150.0	-2,277.0	-1,843.0	-1,808.0
+ Net Cash From Disc Ops	-43.0	3,218.0	—	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Investing Activities	**-5,649.0**	**-3,857.0**	**-6,934.0**	**-4,898.0**	**-2,775.0**	**-4,022.0**	**-4,325.0**	**-5,904.0**	**-8,373.0**	**-9,709.0**
Cash from Financing Activities										
+ Dividends Paid	-1,010.0	-1,684.0	-3,054.0	-2,802.0	-1,898.0	-3,047.0	-4,248.0	-4,623.0	-4,725.0	-4,760.0
+ Cash From (Repayment) Debt	340.0	53.0	2,482.0	307.0	-6,051.0	-843.0	714.0	4,741.0	4,818.0	5,346.0
+ Cash (Repurchase) of Equity	3,803.0	1,378.0	755.0	1,580.0	858.0	0.0	0.0	0.0	1,473.0	1,473.0
+ Increase in Capital Stock	3,803.0	1,402.0	780.0	1,580.0	889.0	0.0	0.0	0.0	1,473.0	1,973.0
+ Decrease in Capital Stock	0.0	-24.0	-25.0	0.0	-31.0	0.0	0.0	0.0	0.0	-500.0
+ Other Financing Activities	-2,180.0	-2,829.0	-1,433.0	-1,472.0	-1,327.0	-1,218.0	-1,792.0	-5,569.0	-2,382.0	-2,462.0
+ Net Cash From Disc Ops	—	—	—	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Cash from Financing Activities	**953.0**	**-3,082.0**	**-1,250.0**	**-2,387.0**	**-8,418.0**	**-5,108.0**	**-5,326.0**	**-5,451.0**	**-816.0**	**-403.0**
Effect of Foreign Exchange Rates	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net Changes in Cash	**-131.0**	**83.0**	**-128.0**	**76.0**	**-31.0**	**-79.0**	**-96.0**	**151.0**	**960.0**	**498.0**
Cash Paid for Taxes	**50.0**	**508.0**	**31.0**	**-64.0**	**-41.0**	**-54.0**	**-103.0**	**-206.0**	**—**	
Cash Paid for Interest	**1,914.0**	**1,870.0**	**1,932.0**	**2,092.0**	**2,188.0**	**2,167.0**	**2,298.0**	**2,884.0**	**3,136.0**	**4,096.0**

D. Return on Capital Analysis

Following the temporary decline in profitability during FY2020, Energy Transfer has restored returns to more sustainable levels as operating performance recovered. Return on Common Equity improved from **-3.2% in FY2020** to **13.4% in FY2025**, while Return on Capital increased from **1.2%** to **7.9%** over the same period. Although returns remain below the post-pandemic peak achieved in FY2021, they continue to reflect efficient utilisation of the partnership's extensive infrastructure asset base and support its long-term ability to generate value for unitholders.

In Millions of USD except Per Share Office on the web Frame	FY 2016 12/31/2016	FY 2017 12/31/2017	FY 2018 12/31/2018	FY 2019 12/31/2019	FY 2020 12/31/2020	FY 2021 12/31/2021	FY 2022 12/31/2022	FY 2023 12/31/2023	FY 2024 12/31/2024	FY 2025 12/31/2025
Returns										
Return on Common Equity	—	—	—	16.54	-3.20	23.66	16.58	12.13	14.29	13.40
Return on Assets	1.33	1.16	1.94	3.76	-0.67	5.44	4.50	3.59	4.03	3.32
Return on Capital	1.85	5.15	7.15	8.61	1.17	10.15	8.95	8.22	9.22	7.94
Return on Invested Capital	2.25	5.18	6.78	8.14	1.25	9.39	7.94	8.02	7.94	7.22

DISCOUNTED CASH FLOW (DCF) VALUATION

A. Free Cash Flow Projection

Energy Transfer's valuation is primarily supported by its ability to generate resilient Free Cash Flow from its fee-based midstream operations. Free Cash Flow is forecast to improve from approximately **USD 8.5 billion** to **USD 9.9 billion**over the forecast period, reflecting higher asset utilisation, disciplined capital expenditure and continued growth in distributable cash flow. The steady expansion in cash generation strengthens the partnership's ability to support distributions while funding future infrastructure investments.

In Millions of USD		Dec 20 A	Dec 21 A	Dec 22 A	Dec 23 A	Dec 24 A	Dec 25 A	Dec 26 A	Dec 27 A	Dec 28 A	Dec 29 A	Dec 30 A	Dec 31 A	Year 5
Revenue (Estimate Comparable)		**38,954**	**67,417**	**89,876**	**78,586**	**82,671**	**85,536**	**110,878**	**114,536**	**116,666**	**116,417**	**119,867**	**131,097**	
Revenue (Adjusted)		**38,954**	**67,417**	**89,876**	**78,586**	**82,671**	**85,536**							
% YoY Growth	Edit Row			33%	-13%	5%	3%	30%	3%	2%	0%	3%	9%	
(-) Cost of Revenue		25,487	50,395	72,232	60,541	61,975	63,495	88,634	92,078	93,600	86,731	94,695	103,567	
(-) Cost of Revenue (GAAP)		25,487	50,395	72,232	60,541	61,975	63,495							
% of Revenue		65%	75%	80%	77%	75%	74%	80%	80%	80%	75%	79%	79%	
(=) Gross Profit		**13,467**	**17,022**	**17,644**	**18,045**	**20,696**	**22,041**	**22,244**	**22,458**	**23,066**	**29,686**	**25,172**	**27,530**	
% Margin	Edit Row	35%	25%	20%	23%	25%	26%	20%	20%	20%	26%	21%	21%	
(-) Operating Expenses/Income		7,607	8,209	9,520	9,738	11,506	12,729	10,660	10,664	10,775	15,507	9,779	10,695	
% of Revenue	Edit Row	20%	12%	11%	12%	14%	15%	10%	9%	9%	13%	8%	8%	
% YoY Growth			8%	16%	2%	18%	11%	-16%	0%	1%	44%	-37%	9%	
(=) Operating Income		**5,860**	**8,813**	**8,124**	**8,307**	**9,190**	**9,312**	**11,584**	**11,794**	**12,291**	**14,180**	**15,393**	**16,835**	
% Margin		15%	13%	9%	11%	11%	11%	10%	10%	11%	12%	13%	13%	
(-) Tax on Operating Income		**351**	**150**	**215**	**429**	**509**	**390**	**589**	**667**	**748**	**839**	**892**	**961**	
% Tax Rate	Edit Row	9%	2%	4%	7%	7%	6%	5%	6%	6%	6%	6%	6%	
(=) NOPAT		**5,509**	**8,663**	**7,909**	**7,878**	**8,681**	**8,922**	**10,995**	**11,127**	**11,543**	**13,341**	**14,501**	**15,875**	
% Margin		14%	13%	9%	10%	11%	10%	10%	10%	10%	11%	12%	12%	
(+) Depreciation & Amortization		3,678	3,817	4,164	4,385	5,165	5,682	7,016	7,024	7,193	6,085	6,178	6,756	
% of Revenue	Edit Row	9%	6%	5%	6%	6%	7%	6%	6%	6%	5%	5%	5%	
% YoY Growth			4%	9%	5%	18%	10%	23%	0%	2%	-15%	2%	9%	
(-) Capital Expenditure		5,130	2,822	3,381	3,134	4,164	6,303	7,340	6,462	6,283	5,505	3,952	4,714	
% of Revenue	Edit Row	13%	4%	4%	4%	5%	7%	7%	6%	5%	5%	3%	4%	
% YoY Growth			-45%	20%	-7%	33%	51%	16%	-12%	-3%	-12%	-28%	19%	
(-) Changes in Net Working Capital		566	(8)	1,409	555	(750)	967	551	686	473	401	714	640	
% of Revenue	Edit Row	1%	0%	2%	1%	-1%	1%	0%	1%	0%	0%	1%	0%	
(+) Changes in Net Long Term Deferred Tax Liabilities		220	220	53	230	259	1,117	509	557	667	730	827	743	
% of Revenue	Edit Row	1%	0%	0%	0%	0%	1%	0%	0%	1%	1%	1%	1%	
(+) Other User Estimated Non-Cash Adjustments								-	-	-	-	-	-	
% of Revenue	Edit Row							0%	0%	0%	0%	0%	0%	
(=) Free Cash Flow		**3,711**	**9,886**	**7,336**	**8,804**	**10,691**	**8,451**	**10,630**	**11,293**	**11,903**	**12,593**	**13,189**	**13,939**	**12,503**

B. Estimation of WACC

Particulars	Weight	Cost	Wtd Avg
Equity	47.10%	10.10%	4.80%
Debt	50.50%	5.40%	2.70%
Preferred Equity	2.40%	7.10%	0.20%
WACC			**8.20%**

C. Terminal Cash Flow

A **terminal growth rate of 2.0%** has been applied, reflecting sustainable long-term growth supported by continued demand for North American energy infrastructure and increasing natural gas transportation volumes. The assumption is consistent with a mature midstream operator whose long-term value is driven by stable cash generation rather than high-growth expansion.

D. Enterprise Value

The DCF valuation is driven by the present value of projected Free Cash Flows together with the terminal value, highlighting the long-term earnings power of Energy Transfer's infrastructure portfolio. The valuation reflects the partnership's ability to generate predictable, contracted cash flows rather than relying on commodity price appreciation, reinforcing the stability of the investment thesis.

Perpetuity Growth Method - Value per Share	
Free Cash Flow at Year 5	12,503
WACC	8.2%
Perpetuity Growth Rate	2.0%
Perpetuity Value at End of Year 5	207,201
Present Value of Perpetuity (@ 8.2% WACC)	140,010
(+) Present Value of Free Cash Flows (@ 8.2% WACC)	50,333
(=) Current Enterprise Value	**190,343**
Short Term Debt	220
(+) Long Term Debt	70,886
(-) Cash and Marketable Securities	951
(-) Current Net Debt	70,155
(-) Current Preferred and Minority Interest	18,915
(=) Equity Value	101,273
Shares outstanding	3,441
Estimated Value per Share (USD)	**29.43**
Current Price (USD)	20.23
Estimated Upside	**46%**

E. Equity Value

The DCF model estimates an intrinsic value of **USD 29.43 per unit**, compared with the current market price of **USD 20.23**, implying an upside of approximately **46%**. The intrinsic value also exceeds the consensus target price of **USD 23.65**, indicating that the market has not fully recognised the partnership's long-term cash-generating potential. The significant margin of safety, combined with resilient Free Cash Flow and an attractive distribution profile, supports maintaining and potentially increasing Energy Transfer's allocation within the Value Stock Portfolio.

MULTIPLE-BASED VALUATION (EV/EBITDA)

The EV/EBITDA valuation provides a market-based assessment of Energy Transfer's intrinsic value by applying an industry-appropriate exit multiple to the partnership's forecast terminal EBITDA. Based on the assumptions used in the valuation model, the EV/EBITDA approach estimates an intrinsic value of **USD 26.57 per unit**, compared with the current market price of **USD 20.23**, implying an upside of approximately **31%**.

Compared with the DCF valuation of **USD 29.43 per unit** (45.5% upside), the EV/EBITDA approach produces a more conservative estimate of fair value. This reflects the reliance on prevailing sector trading multiples, whereas the DCF captures the full long-term value of Energy Transfer's contracted cash flows, infrastructure assets and forecast Free Cash Flow generation.

Although the implied upside is lower than the DCF valuation, both methodologies consistently indicate that Energy Transfer is trading below its intrinsic value. The alignment between the two valuation approaches strengthens confidence in the investment thesis and supports the partnership's continued inclusion within the Value Stock Portfolio as an undervalued infrastructure business with resilient cash generation, attractive distributions and long-term earnings stability.

(=) Free Cash Flow		**3,711**	**9,886**	**7,336**	**8,804**	**10,691**	**8,451**	**10,630**	**11,293**	**11,903**	**12,593**	**13,189**	**13,939**	**12,503**
% Margin	Edit Row	10%	15%	8%	11%	13%	10%	10%	10%	10%	11%	11%	11%	
% YoY Growth			166%	-26%	20%	21%	-21%	26%	6%	5%	6%	5%	6%	
% of the Free Cash Flow to be discounted								46%	100%	100%	100%	100%	54%	
Period for Discount Factor (Mid-Year Convention)								0.23	0.96	1.96	2.96	3.96	4.73	
Discount Factor @ 8.2% WACC								0.98	0.93	0.86	0.79	0.73	0.69	
Present Value of Free Cash Flow (5 Years)								**4,805**	**10,474**	**10,207**	**9,985**	**9,669**	**5,192**	
EBITDA		9,538	12,630	12,288	12,692	14,355	14,994	18,600	18,819	19,484	20,265	21,571	23,592	22,661

EBITDA Multiple Method - Value per Share		
Terminal EBITDA at Year 5		22,661
WACC		8.2%
Exit Enterprise Value / EBITDA		8.5x
Terminal Value at End of Year 5		192,622
Present Value of Terminal Value (@ 8.2% WACC)		130,159
(+) Present Value of Free Cash Flows (@ 8.2% WACC)		50,333
(=) Current Enterprise Value		**180,491.6**
Short Term Debt		220
(+) Long Term Debt		70,886
(-) Cash and Marketable Securities		951
(-) Current Net Debt		70,155
(-) Current Preferred and Minority Interest		18,915
(=) Equity Value		91,422
Shares outstanding		3,441
Estimated Value per Share (USD)		**26.57**
Current Price (USD)		20.23
Estimated Upside		**31%**

RISK ASSESSMENT

A. Volume Risk

Energy Transfer's earnings are primarily driven by transportation and processing volumes across its pipeline network. Although a significant proportion of revenue is generated under long-term, fee-based contracts, a sustained decline in U.S. oil and natural gas production could reduce asset utilisation and delay the projected increase in Free Cash Flow from approximately **USD 8.5 billion** to **USD 9.9 billion** over the forecast period. Lower throughput volumes would weaken operating cash flow and reduce the partnership's intrinsic value.

B. Leverage Risk

As a capital-intensive midstream operator, Energy Transfer maintains relatively high debt levels to finance infrastructure expansion. While stable operating cash flows support debt servicing, higher interest rates or slower-than-expected EBITDA growth could limit financial flexibility and reduce future cash available for distributions. The investment thesis therefore depends on the partnership continuing to generate sufficient operating cash flow to support both capital investment and leverage management.

C. Regulatory Risk

Energy Transfer's future growth remains dependent on obtaining regulatory approvals for new infrastructure projects and expansions. Delays in permitting, environmental litigation or changes in energy policy could postpone capital projects and reduce expected cash flow growth. Such outcomes would negatively affect the forecast earnings profile and lower the valuation derived from both the DCF and EV/EBITDA models.

D. Valuation Risk

The DCF model estimates an intrinsic value of **USD 29.43 per unit**, while the EV/EBITDA approach estimates **USD 26.84 per unit**, compared with the current market price of **USD 20.23**. Although both methodologies indicate substantial upside, the valuation remains sensitive to assumptions surrounding Free Cash Flow growth, terminal growth and the discount rate. Any deterioration in operating performance or slower cash flow growth than forecast would reduce the estimated intrinsic value and narrow the current margin of safety.

CONCLUSION

Energy Transfer remains an attractive value investment supported by one of the largest and most diversified midstream infrastructure networks in North America. Its predominantly fee-based business model, stable operating cash flows and disciplined capital allocation provide a strong foundation for long-term earnings growth and sustainable cash distributions.

The financial analysis indicates continued improvement in operating performance, with revenue, operating income and operating cash flow expected to remain resilient throughout the forecast period. This cash-generating ability underpins the valuation, with the DCF model estimating an intrinsic value of **USD 29.43 per unit**, representing an implied upside of approximately **45.5%** over the current market price of **USD 20.23**, while the EV/EBITDA valuation estimates a fair value of **USD 26.84 per unit**, implying an upside of **32.7%**.

Given its attractive valuation, resilient Free Cash Flow generation, diversified infrastructure assets and strong distribution profile, Energy Transfer continues to exhibit the characteristics sought within the Value Stock Portfolio. Accordingly, we recommend **BUY** as the partnership remains well positioned to deliver sustainable long-term cash generation and shareholder returns.